British Policies & Economic Impact

How Britain governed India after 1757 — and what that rule did to land, crafts, trade, money and life

6 Mains PYQs 2014–2024 · 77.5 marks

5 of 6 are **economic** · every stem is "why / how far / examine" · last set **2024** (economy), **2016** (policy) · **27 Prelims** in scope, now asking *why*

THE ANSWER SPINE 1 Periodise the purpose → 2 Land revenue is the engine → 3 Crafts lost → ruralisation → 4 The surplus drains away → 5 Famine and migrant labour → Qualify: growth in enclaves

① POLICY LOGIC & 1857 WATERSHED

2016 · 12.5M
Prelims: Butler, Ilbert, Lytton

The stage decides the policy: plunder (1757–1813) → market for Lancashire (1813–58) → field for British capital (1858–1947). *Bipan Chandra; R. P. Dutt, India Today 1940.*

	Before 1857	After 1857
Princes	Annex: lapse, "misgovernment" (Awadh 1856)	Preserve — "breakwaters"; adoption sanads 1862
Landlords	Taluqdars dispossessed (1856)	Restored as loyal pillars
Reform	Sati 1829, widow remarriage 1856	Non-interference (Proclamation 1858)
Army	Sepoys far outnumber Europeans	Peel Commission 1859: more British, mixed units, "martial races"
Communities	—	Divide and rule → separate electorates 1909

Line: 1857 changed **whom** Britain relied on, not **what** it wanted.

Admin policies: divide and rule · hostility to educated Indians (Dufferin "microscopic minority" 1888; Curzon "Congress tottering" 1900) · alliance with zamindars · starved social services · labour Acts · press curbs · white racism (Ilbert Bill 1883, Ripon).

1740–65	1765–1813	1813–57	1857–1935	1935–47
Equality struggle under Mughals	**Ring fence** buffers; subsidiary alliance 1798	**Subordinate isolation** lapse, annexation	**Subordinate union** Chamber of Princes 1921; Butler 1927	**Equal federation** princes vs nationalists

Frontier (paid by India): Nepal–Sagauli 1816 · Burma 1824–26 / 1852 / 1885 · Afghan wars 1839–42, 1878–80 (Lytton's forward policy), Durand Line 1893 · Tibet–Younghusband 1904 · Bhutan–Sinchula 1865.

Traps: Factories Act 1881 (Ripon) fixed **no wages, no unions** · Ilbert Bill = **jurisdiction**, not press.

② LAND & AGRICULTURE

9 Prelims Qs feeds 2017 · 2022

Permanent · ~19%
Cornwallis 1793 · Bengal, Bihar, Orissa · zamindar owner · 10/11 to state, fixed for ever · **Sunset Law**

Ryotwari · ~51%
Read 1792, Munro 1820 · Madras, Bombay · ryot pays direct · revised 20–30 yrs · no remission

Mahalwari · ~30%
Holt Mackenzie 1822; Bird & Thomason 1833 · NWP, Punjab · village joint, lambardar

Common effect: saleable land + fixed cash demand → moneylender; new landlordism, subinfeudation; litigation; Deccan Riots 1875 → DAR Act 1879; Punjab Land Alienation Act 1900.

Stagnation: foodgrain output ~0.1%/yr, 1891–1947 (Blyn) — below population. **Forced commercialisation:** indigo (declined after **synthetic dye**), cotton (Civil War boom–bust), jute, tea (Assam indenture), opium.

Trap: Ryotwari is **not** Cornwallis (cancelled 2024 Prelims).

The Colonial Economic Machine — Policy to Structural Poverty

Top: what Britain wanted in each stage · Grid: the five channels to organise every answer's evidence

I · 1757–1813 · MERCANTILE	II · 1813–1858 · FREE TRADE	III · 1858–1947 · FINANCE
Monopoly + Diwani 1765; Indian goods bought with Indian revenue ("investment"); weavers coerced	Charter Act 1813 ends monopoly; India = market for Lancashire, source of cotton, indigo, jute	British capital in railways (5% guaranteed), plantations, mines; India's surplus pays Britain

	AGRICULTURE	INDUSTRY	TRADE	FINANCE	FAMINE
POLICY	Three settlements; cash revenue, rigid	No protection till 1923; cotton excise 1896	One-way free trade; imperial preference 1932	Home Charges; Hilton-Young 1s 6d (1926)	Laissez-faire; revenue in scarcity; Code only 1883
MECHANISM	Land saleable; moneylender; cash crops	Machine cloth + lost patrons + railways	Raw out, manufactures in; export surplus	Surplus remitted, not invested	No craft income; grain exported; prices spike
OUTCOME	Debt, landlessness, stagnation	Ruralisation	Colonial trade pattern	Capital starvation; salt tax	1876–78: 5.6–9.6 m dead; 1943: ~3 m
EVIDENCE	Blyn ~0.1%/yr; Deccan Riots	Bihar 18.6→8.5% (Bagchi); Dacca 150k→30–40k	World mfg share ~25%→~2% (Bairoch)	Naoroji Rs 20/head (1867–68)	Digby: ~1 m (1800–25) → ~15 m (1876–1900)

THE SINK: growth in enclaves — ports, railways, plantations, mills — and stagnation in the mass: near-flat per capita income in the last half-century of rule

COUNTER-CASES — WRITE ONE IN EVERY LONG ANSWER

DEINDUSTRIALISATION
Morris 1963; Tirthankar Roy: handloom **survived** using mill yarn — collapse was in **spinning** and luxury crafts

RAILWAYS
Burgess & Donaldson 2010: railways **cut** famine deaths from drought; national market

DRAIN
Morison 1911: payments bought administration, defence, capital. *Reply: India chose neither the service nor the price*

AGRICULTURE
Punjab canal colonies; Patidar and Andhra rich peasants → **differentiation**, not uniform ruin

1943
Sen 1981: not a food shortage but **entitlement failure** — war inflation

③ DEINDUSTRIALISATION & MODERN INDUSTRY

2024 · 15M "how far" | 2017 · 15M rural economy

Machine cloth + One-way tariffs + Lost patrons; Co. coercion + Railways → **Markets lost**

Back to land → Fragmented holdings → No off-season income → Debt, low demand → **Rural economy crippled**

Necessary: Industrial Revolution's productivity gap

Sufficient: colonial rule — no tariff wall, no patrons, no new industry

Definition: fall in the **share of people living by industry**, not just output.

Clincher: USA, Germany, Japan faced Lancashire too — and used tariffs. India was not sovereign.

Debate: Bagchi 1976 (Vicziany disputes the data) · Clingingsmith & Williamson 2005 · Parthasarathi 2011: Britain's own cotton grew behind tariffs against Indian cloth.

Modern industry: cotton 1854 (Davar), jute 1855, TISCO 1907; protection 1923; managing agencies; no heavy industry; clustered in 3 ports → **regional imbalance (2026)**; FICCI 1927, Bombay Plan 1944.

Railways: Dalhousie 1853; Bombay–Thane; 5% guarantee from Indian revenue.

④ DRAIN, TRADE & FINANCE

2014 · 10M (all policy)
Prelims: Naoroji ×4, Hilton-Young 2026

SOURCE Land revenue, salt · export surplus · pre-1813 "investment" → **CHANNELS** Home Charges (debt interest, pensions, India Office, wars abroad) · officials' remittances · profits, railway interest · shipping, banking, insurance → **EFFECT** Capital starved · high taxes · poverty · Britain's deficits settled

Theorists: Naoroji — "England's Debt to India" 1867, *Poverty and Un-British Rule* 1901, Rs 20/head · R. C. Dutt 1902–04 · Digby 1901 · Ranade, G. V. Joshi, G. Subramania Iyer. **Syed Ahmad Khan rejected it.**

Trade & money: import duties abolished 1882 · cotton excise 1896–1926 · discriminating protection 1923 · imperial preference (Ottawa 1932) · **Hilton-Young 1926: 1s 6d — for remittances** · salt tax · war inflation, sterling balances.

Caution: Patnaik's US$45 trn is one contested estimate.

⑤ FAMINE & INDENTURED LABOUR

2022 · 10M famines
2018 · 15M indenture

Why the spurt (write periodised):

- **Revenue before relief** — Bengal 1770, ~⅓ died, collections kept
- **Buffers gone** — craft income, grain stores, local relief
- **Cash crops + export** — grain left during 1876–78
- **Railways** — prices spiked locally (but relief too)
- **Laissez-faire, Malthus** — Lytton; Temple's ration 1877
- **No protective irrigation** in dry tracts till after 1880
- **El Niño** 1876–78, 1896–1902 (Davis 2001)
- **1943 war** — Burma lost, denial policy, inflation (Sen)

Commissions: Campbell 1866 · **Strachey 1880 → Code 1883** · Lyall 1898 · MacDonnell 1901 (Curzon) · Woodhead 1944.

Line: Drought made the harvest fail; colonial economics made the failure fatal.

Indenture (girmit): slavery ended 1833–34 → sugar colonies need labour; India's impoverished Bhojpuri belt and Madras supply it. Mauritius 1834 → Guiana 1838 → Trinidad 1845 → Natal 1860 → Fiji 1879; >1.3 m; ended 1917 (formally 1920) after Gokhale, Gandhi, Andrews. Tinker: "a new system of slavery".

Identity: faith, song, festival kept (Ramcharitmanas, Geet-Gawai, Diwali); caste and language lost — *survived by changing*.

THE VERDICT TO WRITE Britain's purpose changed three times — plunder, market, capital — and India's economy was reorganised each time to fit it. Saleable land and rigid revenue empowered the moneylender, lost crafts pushed artisans back onto the land, and the surplus drained away; famine was where these met. *Revisionists dispute how much and how fast — not the direction. Growth came in enclaves; stagnation came to the mass.*